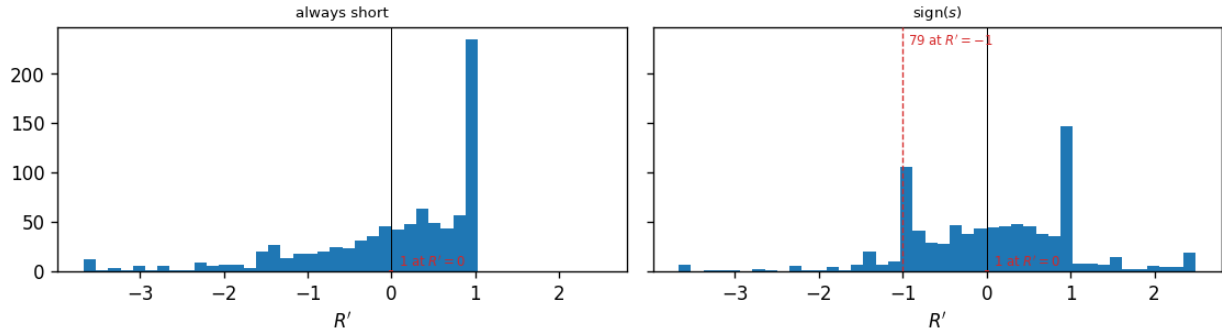


ODTE nearest-OTM package: per-rule return summary, entry 15:30 ET, cash-settled at the close, models compared on the same 866 days

|                                                | <i>n</i> | mean  | std   | min    | max   | skew  | ex. kurt | <i>t</i> | Sharpe <sub>ann</sub> | Sharpe <sup>x</sup> <sub>ann</sub> |
|------------------------------------------------|----------|-------|-------|--------|-------|-------|----------|----------|-----------------------|------------------------------------|
| <i>Short volatility (always short)</i>         |          |       |       |        |       |       |          |          |                       |                                    |
| all models (no forecast)                       | 866      | 0.014 | 1.128 | -10.32 | 1.00  | -2.31 | 10.89    | 0.38     | 0.20                  | -0.26                              |
| <i>sign(s) (±1 on the sign of s)</i>           |          |       |       |        |       |       |          |          |                       |                                    |
| baseline (HAR + calendar OLS)                  | 866      | 0.069 | 1.126 | -5.42  | 10.32 | 0.58  | 10.71    | 1.79     | 0.97                  | 0.50                               |
| block-diagonal ridge                           | 866      | 0.095 | 1.124 | -5.42  | 10.32 | 0.92  | 10.61    | 2.48     | 1.34                  | 0.87                               |
| block-diagonal ridge, without the FOMC columns | 866      | 0.090 | 1.124 | -5.42  | 10.32 | 1.00  | 10.59    | 2.36     | 1.27                  | 0.80                               |
| LightGBM <sup>†</sup>                          | 866      | 0.103 | 1.123 | -5.42  | 10.32 | 1.01  | 10.58    | 2.71     | 1.46                  | 0.99                               |
| XGBoost <sup>†</sup>                           | 866      | 0.106 | 1.123 | -5.42  | 10.32 | 0.91  | 10.62    | 2.78     | 1.50                  | 1.03                               |
| lasso (causally tuned) <sup>†</sup>            | 866      | 0.100 | 1.123 | -6.84  | 10.32 | 0.46  | 10.78    | 2.62     | 1.41                  | 0.94                               |
| lasso ( $\alpha = 10^{-4}$ )                   | 866      | 0.107 | 1.123 | -5.42  | 10.32 | 1.22  | 10.50    | 2.80     | 1.51                  | 1.04                               |
| elastic net (causally tuned) <sup>†</sup>      | 866      | 0.072 | 1.125 | -6.84  | 10.32 | 0.46  | 10.74    | 1.90     | 1.02                  | 0.56                               |

block-diagonal ridge, midpoint fills: entry 15:30 ET, cash-settled at the close; return of the position, 1st-99th percentile window (bars: the days with  $R' \neq 0$ )



Distribution of the return of the position taken at 15:30 ET, block-diagonal ridge forecast, one panel per rule (returns inside their 1st–99th percentile window; the mass at  $-1$  is the days the package expires worthless).

One trade a day: enter the nearest-OTM package at 15:30 ET and let it cash-settle at the official close. 866 expiration days, 2020-01-03 to 2024-04-30 (the deck’s frame). Fills are at the quoted midpoint everywhere except the last column, which is the same rule filled at the crossed spread: entry at the touch (the ask when long, the bid when short) and exit at the touch of the next stamp; the 15:30 leg cash-settles and pays no exit spread, and a re-pick that lands on the same two strikes with the same sign is a hold, not a round trip, so it is not charged. One expiration day = one return; mid fill. Every  $t$  here is the plain  $t = \sqrt{n} \cdot \text{mean}/\text{std}$ , with no autocorrelation correction. “ex. kurt” is the bias-corrected sample excess kurtosis (Gaussian = 0). The short-volatility rule takes no forecast, so it is one row for all models.  $\text{Sharpe}_{\text{ann}} = (\text{mean}/\text{std}) \times \sqrt{252}$ ; every other column is daily. The one column this table adds to the deck’s is  $\text{Sharpe}^x_{\text{ann}}$ , the same rule’s annualized Sharpe at the *crossed spread* instead of the midpoint; every other column is the deck’s. Forecasts: baseline (HAR + calendar OLS); block-diagonal ridge (HAR block and exogenous block, separate penalties) on the design carrying the FOMC calendar block, and the same ridge on the earlier design without those columns, as a diagnostic row; LightGBM and XGBoost on the all-features design; lasso on the same design, causally tuned vs. fixed  $\alpha = 10^{-4}$ ; elastic net (causally tuned). <sup>†</sup> marks a column still fitted on the earlier design panel; a run of those four on the panel of record is pending. The signal is  $s_t = \widehat{RV}_t - IV_{\text{hr}}^2 h_t w_t$ : the forecast against the implied variance of the same window. On the bars whose vendor implied volatility is a censored solver node the deck’s treatment is used here too — the volatility that reproduces the package midpoint, recovered by bisection over the remaining  $h_t$  hours — so every bar carries a signal and no bar sits flat.